OLIST COMMERCIAL ANALYTICS · RECOMMENDATIONS

Where the next phase of growth comes from

Commercial performance and customer value, January 2017 – August 2018

Daniel B. Saragih

Data: Brazilian E-Commerce Public Dataset by Olist (Kaggle), CC BY-NC-SA 4.0 · Delivered orders, GMV in BRL excluding freight

EXECUTIVE SUMMARY

Olist grew rapidly by bringing more customers and sellers onto its platform, but that growth started to stall in 2018

With very few customers coming back to buy again, the next phase of growth must come from getting more value out of each order and making the marketplace work better across regions.

WHAT HAPPENED

GMV grew 141% year on year, 99% of it from more orders. Monthly GMV has been flat at about R$ 0.9M since early 2018.

WHY IT IS NOT ENOUGH

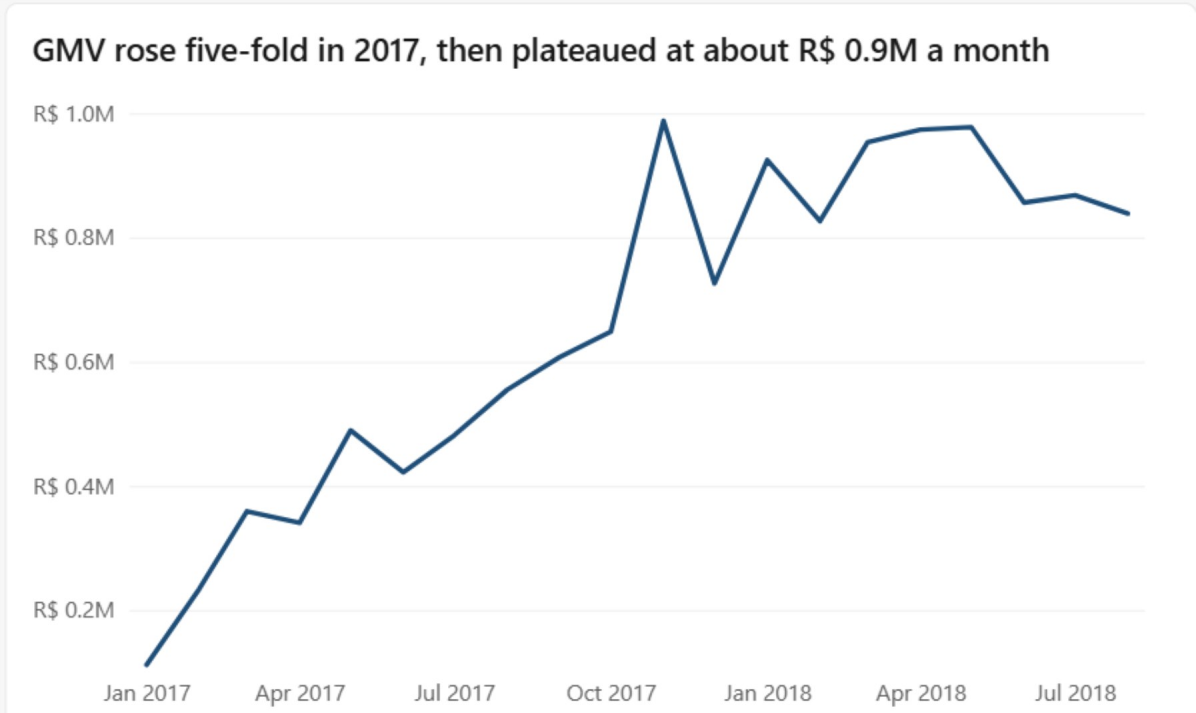
Only 2% of customers return within six months, and a customer's 12-month value is just 3.5% above the first order.

WHERE GROWTH COMES FROM

More value from each order, and a marketplace that works better across regions, starting with the Northeast.

SITUATION

GMV grew 141% year on year, from R$ 2.99M to R$ 7.22M (January–August)



R$ 7.22M

GMV, January–August 2018

+141%

vs January–August 2017 (R$ 2.99M)

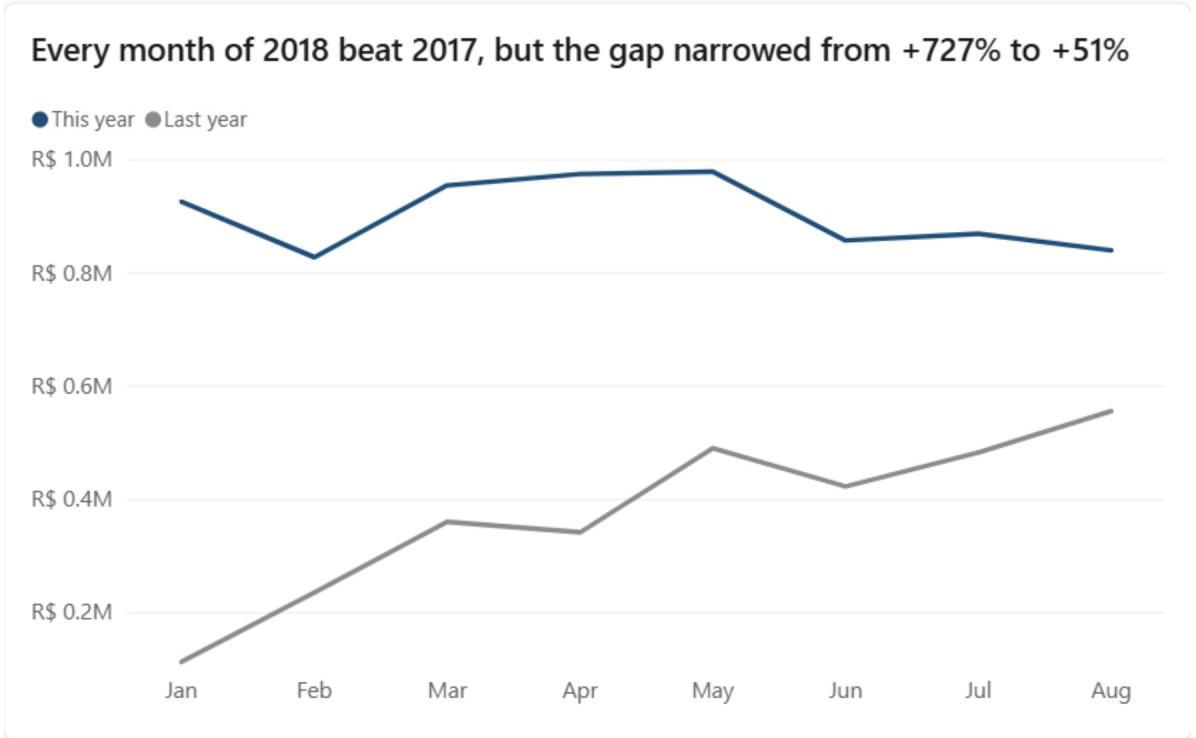
52,783

delivered orders, January–August 2018

Source: Power BI dashboard, Overview page · GMV = item price excluding freight, delivered orders

COMPLICATION

That growth was 99% more orders with flat baskets, and it has plateaued at about R$ 0.9M a month



+139.9%

delivered orders vs last year

+0.5%

average order value (R$ 136.08 to R$ 136.75)

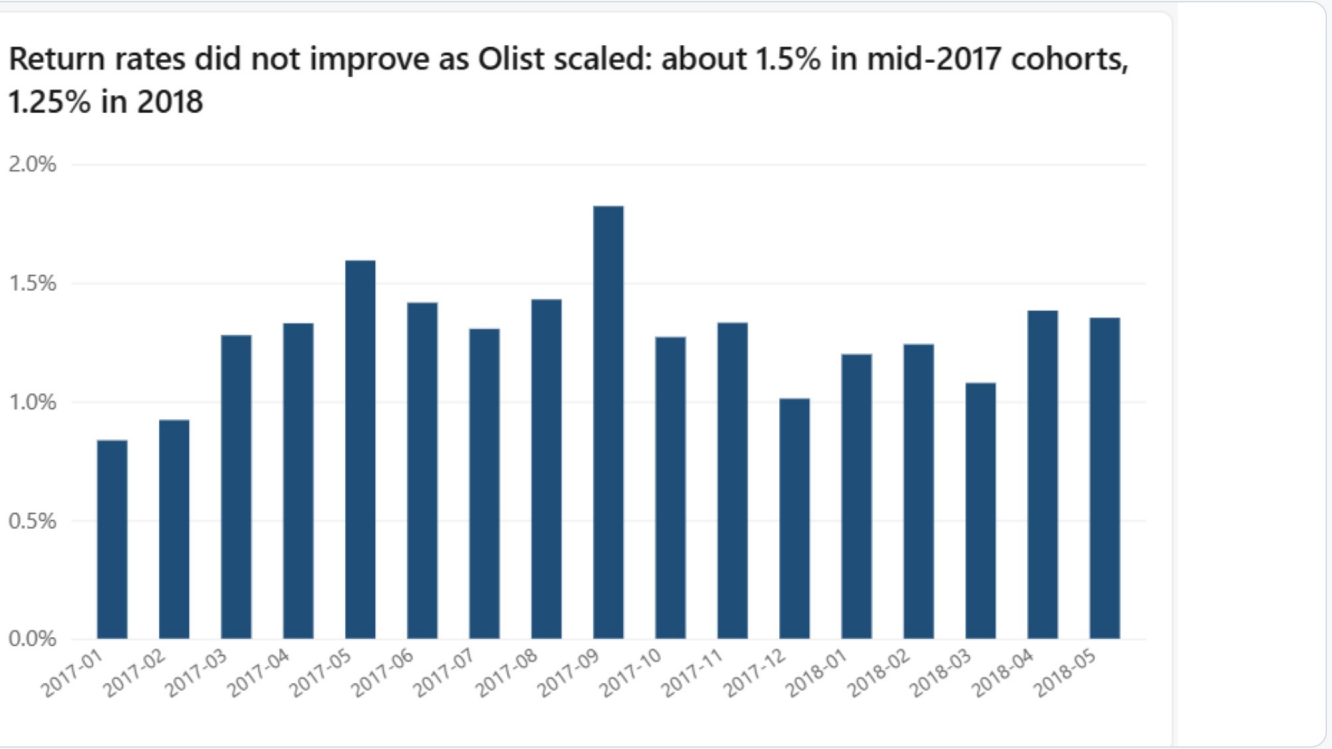
+51%

year-on-year growth in August, down from +727% in January

Source: Power BI dashboard, Growth page · Volume effect = change in orders × 2017 AOV (99.2% of the GMV increase)

FINDING 1 · RETENTION

Retention cannot carry growth: only 2% of customers return within six months



1.98%

of customers return within 180 days of their first order

4.1%

of GMV comes from customers who returned

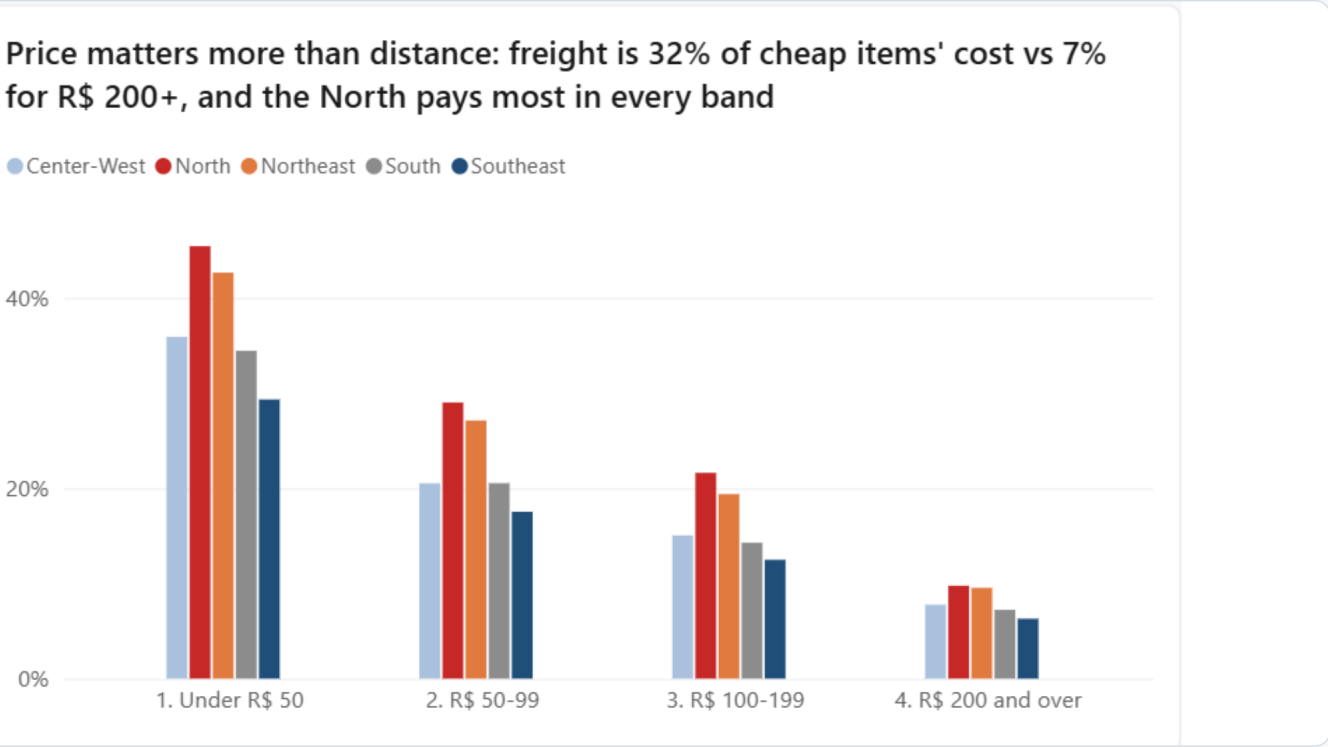
+3.5%

a customer's 12-month value above their first order

Source: Customers page and RFM/CLV notebook · Return = purchase on a later day; complete cohorts only

FINDING 2 · BASKET

Basket size is the untapped lever: freight takes 32% of cheap items' cost vs 7% for items over R$ 200



1.14

items per order, unchanged in two years

32.0%

freight share for items under R$ 50

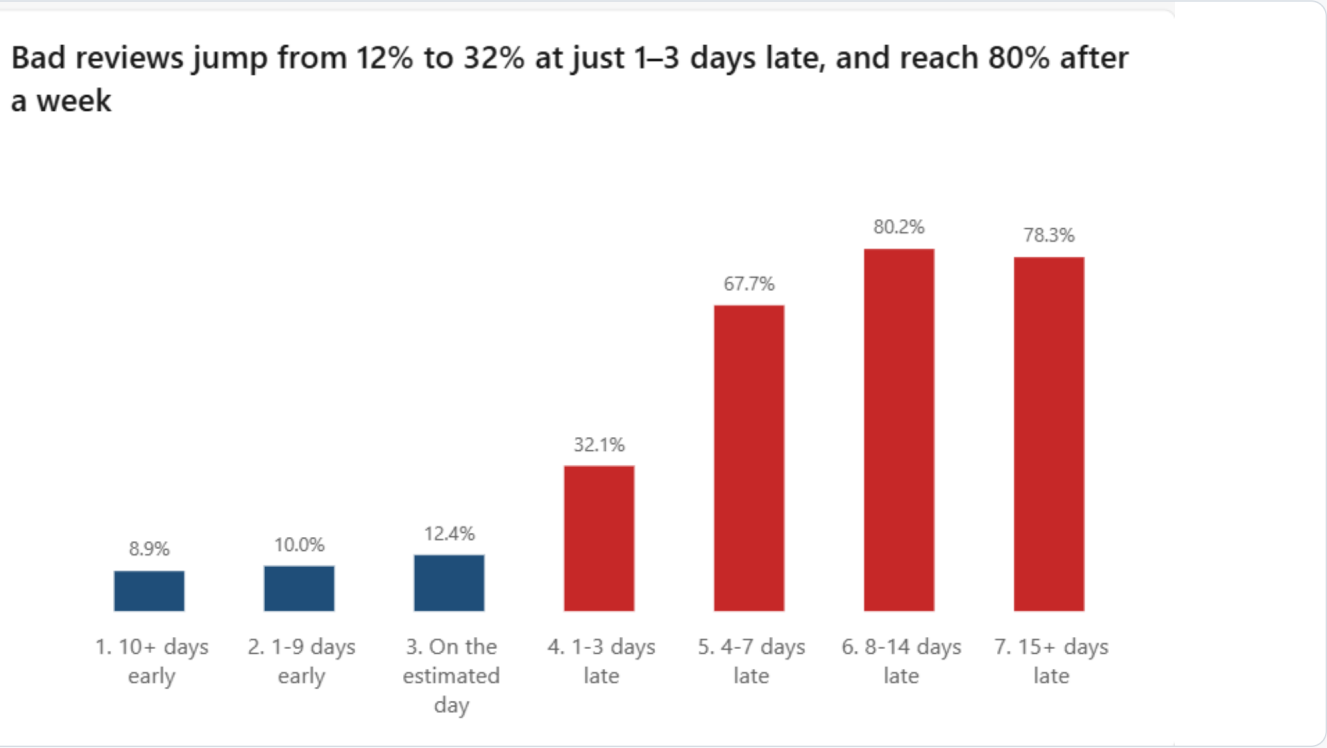
7.1%

freight share for items of R$ 200 and over

Source: Freight page · Freight share = freight ÷ (item price + freight), as a ratio of sums

FINDING 3 · DELIVERY

Late delivery drives bad reviews: 7% of orders are late, but they cause a third of 1–2 star reviews



6.8%
of delivered orders arrive late

32.6%
of all 1–2 star reviews come from late orders

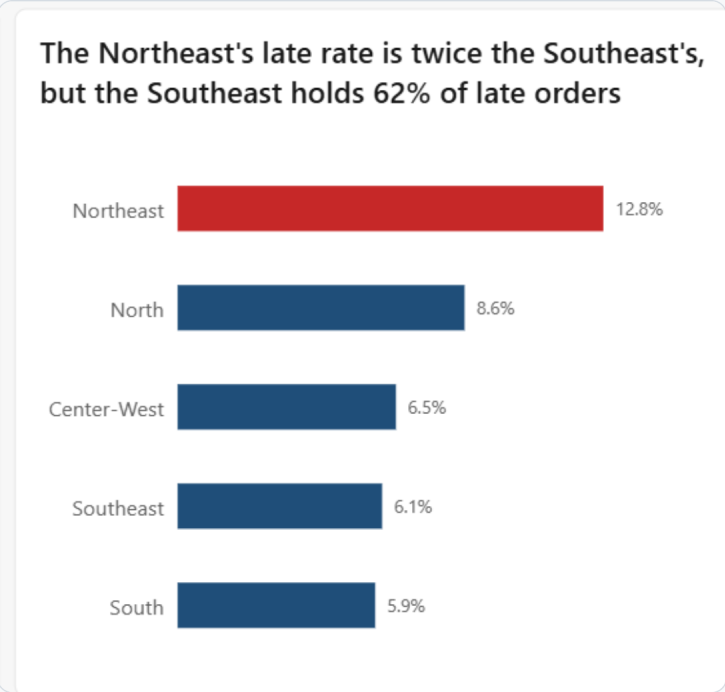
87%
of the extra delay is carrier transit (+19.9 days vs +3.0 at sellers)

Where is it worst? The Northeast, next slide

Source: Delivery page · Late = delivered after the estimated date; reviewed orders only for scores

FINDING 4 · THE NORTHEAST, CONTINUING FROM DELIVERY

The Northeast feels this most: twice the late rate and 1.9× the freight per item, because 84% of its items ship from the Southeast





12.8%

late rate in the Northeast, vs 6.1% in the Southeast

R$ 31.31

freight per item, Southeast to Northeast, vs R$ 16.33 within the Southeast

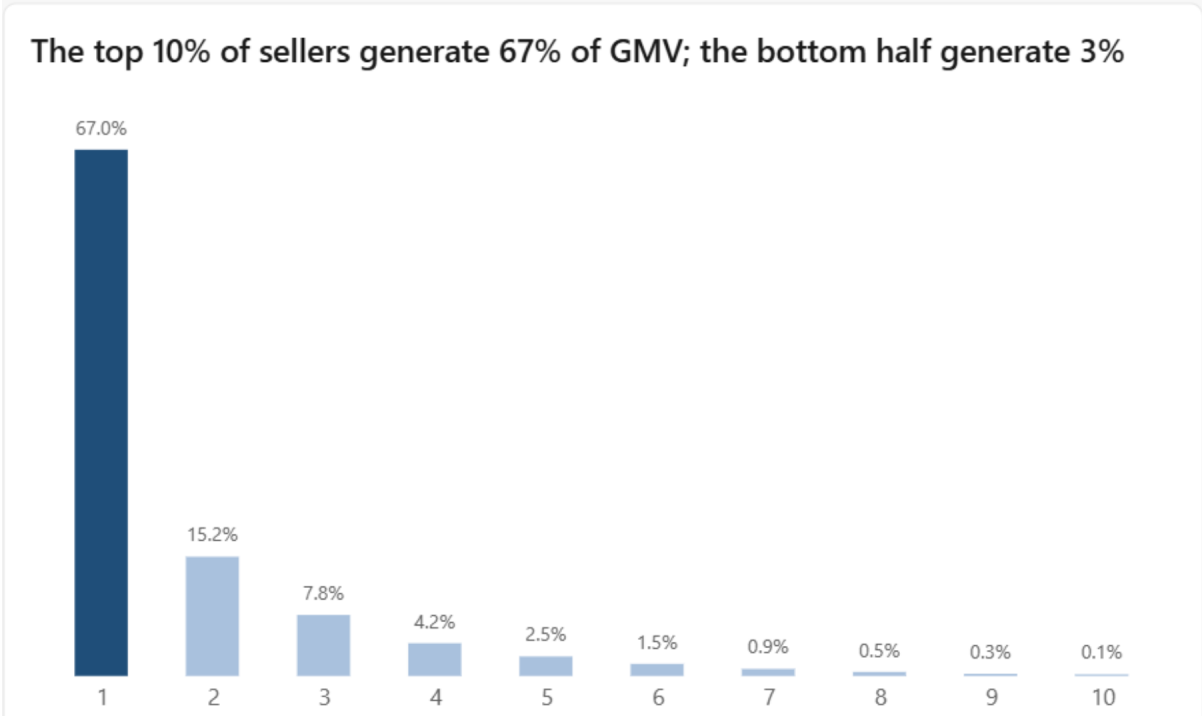
84%

of Northeast items ship from the Southeast

Source: Delivery and Freight pages · Region = delivery address at the time of the order

FINDING 5 · SELLERS

A core of about 300 sellers drives two-thirds of GMV, while half of all sellers are dormant



67.0%

of GMV from the top 10% of sellers (295 of 2,945)

275

equivalent sellers: no single seller is critical (the top 10 hold 13.3%)

516

sellers (17.5%) sold only once; 53% made under R$ 1k in 20 months

Source: Sellers page · Equivalent sellers = 10,000 ÷ HHI of seller GMV shares

RECOMMENDATIONS

Five levers, led by bigger baskets and a better-served Northeast

#	Lever	Evidence	First step	Size (indicative)
1	Grow basket size	Flat 1.14 items per order; freight 32% on cheap items	Free-shipping threshold and bundles	+0.1 items per order ≈ R$ 0.6M in 8 months*
2	Recruit Northeast sellers	84% of Northeast items ship from the Southeast	Seller acquisition pilot in the Northeast	Targets 18% of late orders and the highest freight
3	Carrier lane targets	87% of extra delay is carrier transit	Targets for Northeast lanes and Rio de Janeiro	≈ 600 + 660 fewer late orders*
4	Activate the seller tail	53% of sellers under R$ 1k; 516 sold once	Onboarding support after the first sale	Grows the R$ 10k–50k band (37% of GMV)
5	Low-cost reactivation	30% of returns happen within 30 days	One contact 30–90 days after a high-value first order	Up to ≈ 1.5% of GMV*

* Scenarios to show scale, not forecasts. Retention (5) is worth testing but cannot replace levers 1–2.

NEXT STEPS

Three 90-day tests turn the top levers into evidence

PRIORITY 1 · FREE-SHIPPING THRESHOLD

Can we increase basket value without sacrificing contribution?

Hypothesis: a minimum-spend threshold encourages customers to add more items to their basket.

Measure: items and GMV per order vs a control group; contribution per order after the freight subsidy.

Success: [target to agree]

PRIORITY 2 · NORTHEAST SELLERS

Can more regional supply improve Northeast customer economics?

Hypothesis: recruiting sellers closer to Northeast customers reduces dependence on long-distance shipping and improves delivery.

Measure: Northeast late rate, freight per item and review score.

Success: [target to agree]

PRIORITY 3 · CARRIER LANE TARGETS

Can targeted carrier management reduce late deliveries?

Hypothesis: explicit performance targets on the worst-performing lanes reduce delays and improve customer experience.

Measure: late rate and days late by lane; share of 1–2 star reviews.

Success: [target to agree]

Tests 2 and 3 both serve the Northeast: test 2 changes supply (structural, slower), test 3 manages carriers (operational, faster).

APPENDIX · METHOD

Every number comes from a tested pipeline and was reconciled across SQL, Python and Power BI

PIPELINE

9 CSV files, loaded into PostgreSQL and built into staging views, a star schema and 2 analysis tables. One command rebuilds it and runs 39 automated checks.

RECONCILIATION

GMV R$ 13,181,027.13, 96,211 orders and 93,104 customers match in SQL, Python and Power BI. Every dashboard measure is checked on a reconciliation page.

DEFINITIONS AND LIMITS

GMV = item price excluding freight, delivered orders, BRL. Findings are associations, not proven causes; revenue, not profit. Sizes are scenarios.